KAYAK
STRATEGIC ADVISORS

COMMERCIAL DUE DILIGENCE · STEERING COMMITTEE 3

Project Konkan: is ₹1,240 crore the right price?

Commercial, financial and integrity diligence on a packaged-foods platform. Read-out of weeks one to nine for the investment committee.

Agenda

Ninety minutes. Two decisions needed from the committee, flagged in section 07.

01	**Where we are** Scope, sources, what changed since SteerCo 2	PARTNER	10 min
02	**Market and competition** Channel shift, share, pricing headroom	STRATEGY & DEALS	20 min
03	**Customer diligence: first read** 50 interviews with distributors and buyers	STRATEGY & DEALS	15 min
04	**Quality of earnings** Normalised EBITDA, working capital, debt-like items	TAX & REGULATORY	15 min
05	**Integrity and related parties** Promoter network, DPDP and RBI exposure	CRISIS & RESILIENCE	10 min
06	**Synergy hypotheses** Procurement, logistics, overheads	STRATEGY & DEALS	10 min
07	**Decisions and next steps** Two approvals needed today	PARTNER	10 min

DECISIONS TODAY

1. **Proceed to binding offer at ₹1,180 to 1,240 crore**
2. **Approve ₹2.4 crore for confirmatory integrity work**

Read-ahead: Exhibits 4, 7 and 9. Pre-read circulated 18 October. Questions to the deal team by 21 October.

Four workstreams, one recommendation

Each workstream answers one question the committee asked in September.

STRATEGY & DEALS

01

Market model

Size and growth by channel, region and price tier. Where the target can win.

p. 08

TAX & REGULATORY

02

Quality of earnings

Normalised EBITDA, cash conversion and debt-like items.

p. 33

CRISIS & RESILIENCE

03

Integrity diligence

Promoter network, litigation and related-party flows.

p. 34

TECHNOLOGY & AI

04

Data and controls

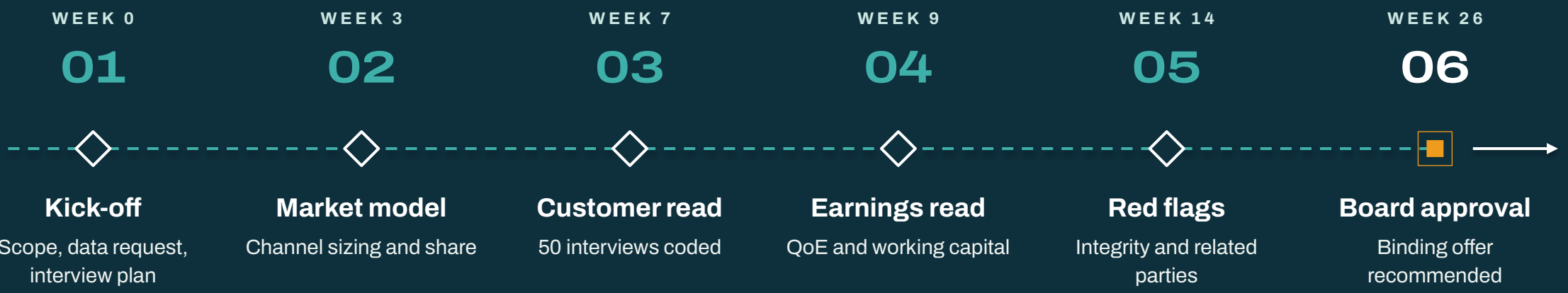
ERP, DPDP readiness and cyber posture of the plants.

p. 38

ENGAGEMENT ROUTE · 26 WEEKS

Six waypoints take the mandate from first data to Board approval in 26 weeks

The route is fixed; the pace at each waypoint depends on data-room access



Today: between waypoints 04 and 05. Integrity fieldwork started 14 October; the red-flag read-out is on 3 November.

Source: KSA engagement plan v3, agreed with the deal team on 2 September 2026

SECTION

02

Market and competition

Modern trade will carry 42% of category growth by FY29. The target sells only 18% of its volume there.

Customer diligence: first read

03

Fifty conversations with distributors, modern-trade buyers and quick-commerce category managers. What the market thinks of the target when the target is not in the room.

The seller's case

Information memorandum, August 2026

01 **Modern trade reaches 35% of sales by FY29**

IM P. 14

02 **The 16.8% EBITDA margin is sustainable**

IM P. 22

03 **Distribution covers 1.2 lakh outlets**

IM P. 9

The evidence

Data room, 90-day billing data, 50 interviews

→ **PARTLY HOLDS**

26% is reachable. Shelf access is contracted in only 11 of the top 40 chains.

→ **DOES NOT HOLD**

Normalised margin is 14.9% once one-off rebates and the promoter's salary are restated.

→ **HOLDS**

1.18 lakh outlets billed at least once in the last 90 days. The claim stands.

WHERE THE TWO CURRENTS MEET

Bid ₹1,180 to 1,240 crore, 6 to 10% below the ask, with an earn-out tied to the normalised margin.

Source: information memorandum; company MIS; KSA interviews, n = 50

Modern trade costs the target five margin points today; at scale the gap halves

WHAT WE FOUND

01 Modern trade earns 16.2%, against 21.4% in general trade

Listing fees and 45-day credit explain 3.9 of the 5.2 points.

02 Quick commerce dilutes at 9.8%, but grows 64% a year

Dark-store fees fall with volume. Break-even with general trade comes at about ₹180 crore of sales.

03 Exports carry 18.9% with no channel conflict

Gulf and UK ethnic retail. Two of the five hero SKUs are already registered.

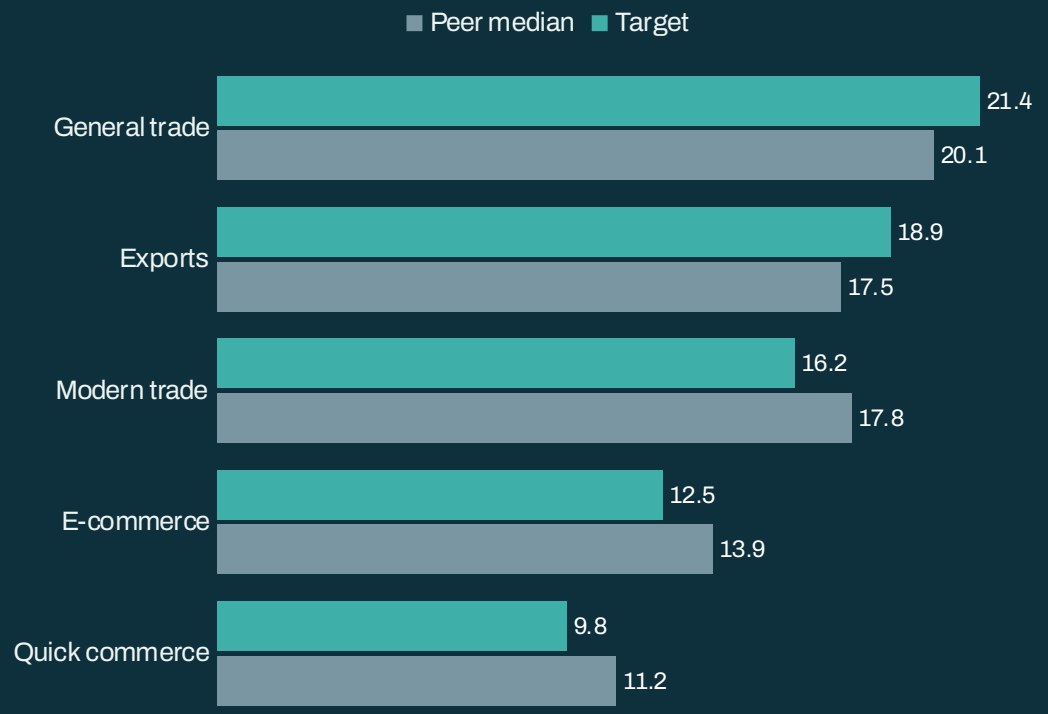
SO WHAT

Price the channel shift into the bid. Every 10 points of mix moved to modern trade costs ₹14 crore of EBITDA until scale terms are won.

EXHIBIT 1

Contribution margin by channel, FY26

Per cent of net sales; the target against the peer median



Source: Company MIS, FY26; peer set of 9 listed packaged-food companies; KSA interviews, n = 50; KSA analysis
Note: contribution margin after trade spend, freight and channel fees, before brand marketing.

SYNERGIES WE CAN EVIDENCE TODAY · RUN-RATE BY YEAR 3

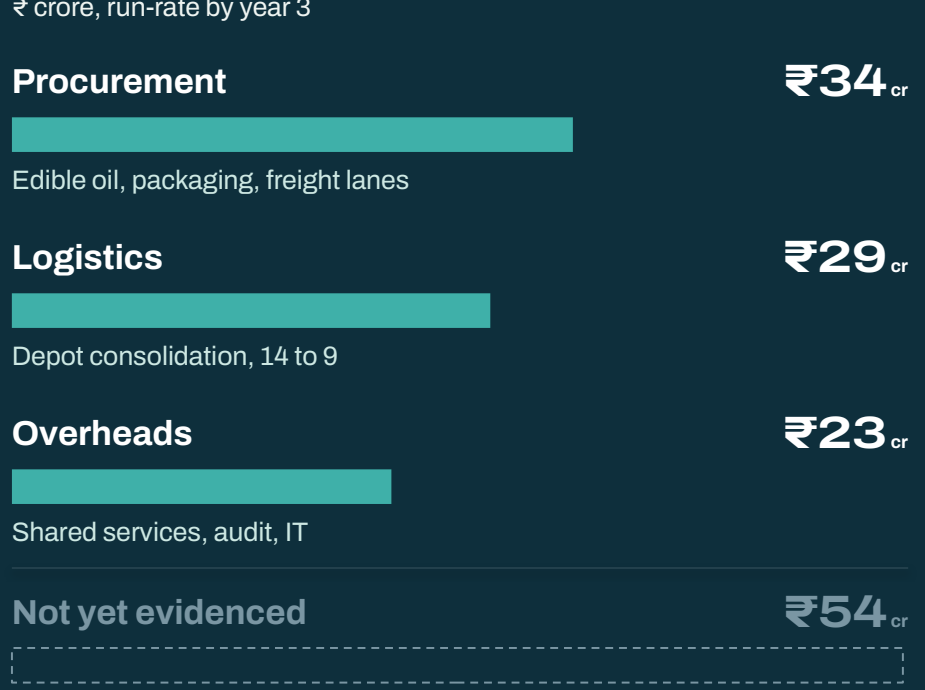
₹86 cr

Of the ₹140 crore in the seller's plan, 61% is evidenced. The rest depends on reopening two co-packing contracts in 2027.

EXHIBIT 2

Where the ₹86 crore comes from

₹ crore, run-rate by year 3



Source: Seller's synergy plan, August 2026; KSA procurement and logistics benchmarks; KSA analysis

Three channels carry the value-creation plan in the first 100 days after close

CLOSE · DAY 0

01

Route to market

Win scale terms with the top 12 modern-trade chains and supply quick commerce direct to dark stores.

₹38 cr

EBITDA UPLIFT BY YEAR 3

Owner Chief commercial officer
When Days 1 to 100

02

Procurement

Pool edible-oil and packaging buying with two portfolio companies and reopen co-packing rates.

₹34 cr

RUN-RATE SAVINGS A YEAR

Owner Chief procurement officer
When Days 30 to 100

03

Working capital

Cut distributor credit from 45 to 30 days and release stock held for discontinued SKUs.

₹112 cr

CASH RELEASED, ONE-OFF

Owner Chief financial officer
When Days 1 to 60

Source: KSA value-creation hypotheses; to be confirmed in confirmatory diligence

> *Modern-trade buyers like the product. What they do not yet trust is the fill rate, and that is a promise the target has never had to keep.*

Category head, national modern-trade chain

Customer interview 23 of 50 · 9 October 2026

31 of 50

buyers rate the product above the category leader

9 of 50

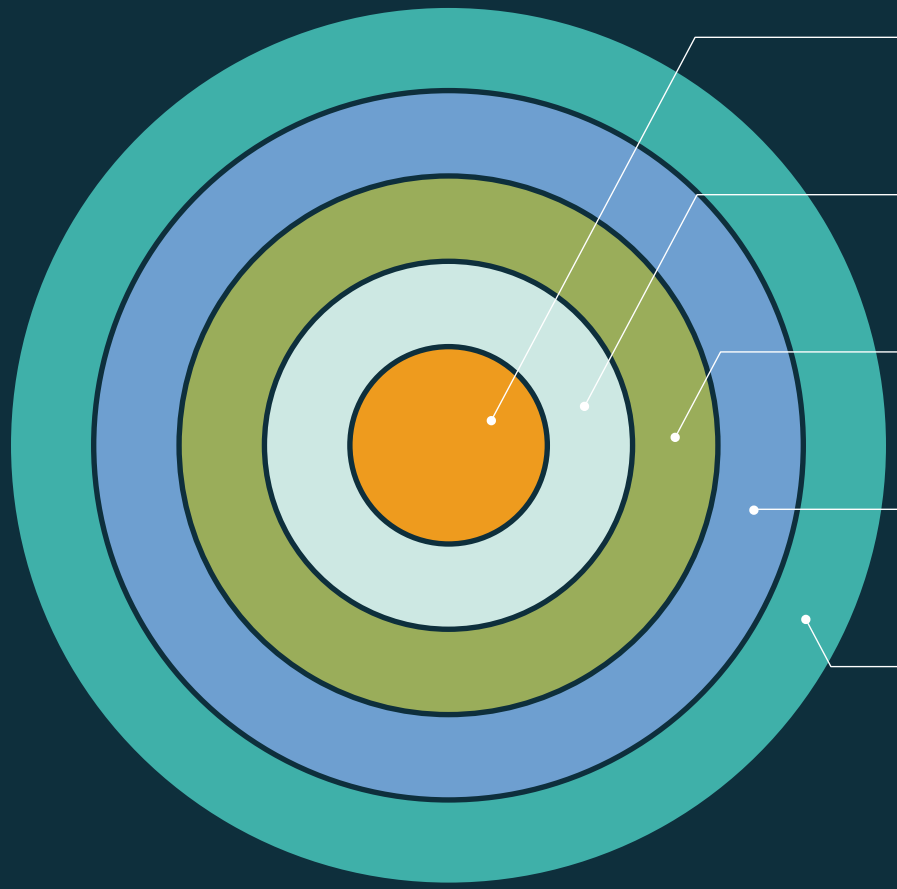
rate on-time, in-full delivery as good

92%

fill rate needed to win the top 12 chains; the target runs at 81%

Source: KSA customer diligence programme, n = 50 interviews; quotation lightly edited for length and anonymised

We test the target from the core outward: five rings of evidence, each one wider than the last



01 Quality of earnings
Normalised EBITDA ₹451 cr after ₹38 cr of one-off items.

02 Working capital and debt-like items
₹86 cr of creditor stretch to unwind at completion.

03 Customers and channels
Top 10 distributors carry 46% of volume; churn under 4%.

04 Operations, people and IT
Two plants run at 61% utilisation; ERP split across sites.

05 Market, regulation and ESG
FSSAI, Legal Metrology and plastic EPR obligations mapped.

ALSO BUILT AS



3 layers



4 layers

Source: KSA diligence framework; scope letter dated 2 September 2026

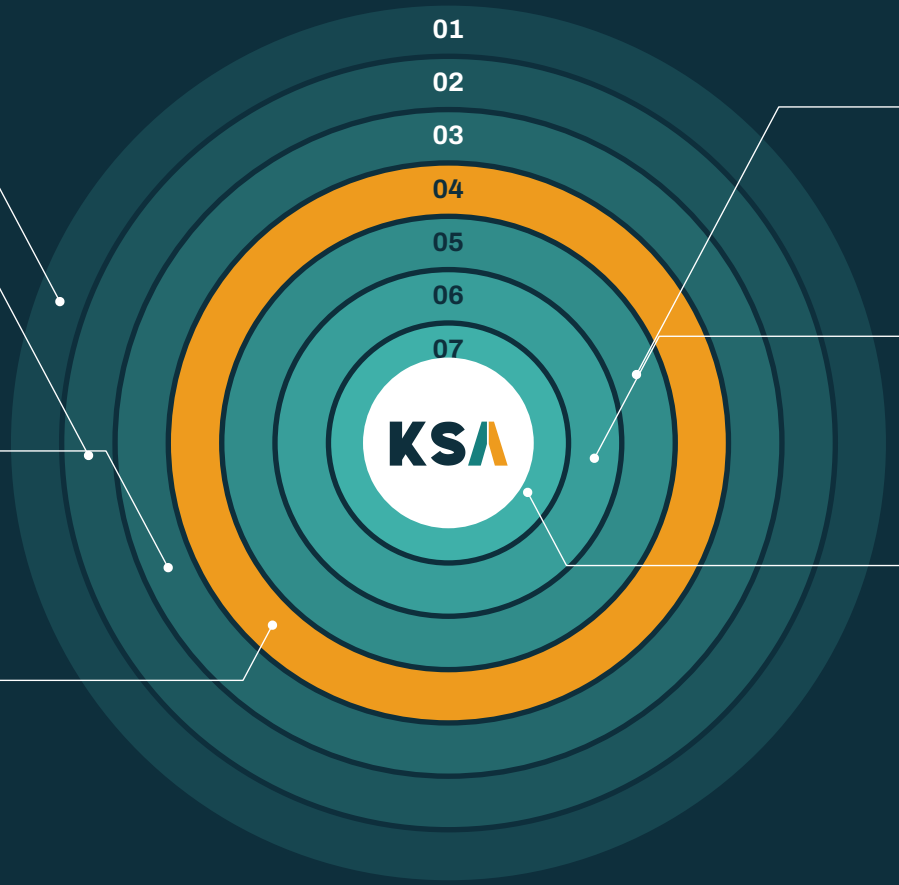
Seven perimeters stand between a ₹1,240 crore deal and a regulatory surprise; the fourth is the weakest

01 Regulatory perimeter
RBI outsourcing, SEBI LODR, DPDP Act

02 Board and committees
Audit and risk committee charters

03 Risk appetite
Limits by risk class, reviewed half-yearly

04 Third parties
38 vendors unassessed; two promoter-linked



05 Financial controls
IFC testing, maker-checker on payments

06 Fraud and investigations
Whistleblower line, case triage in 48 hours

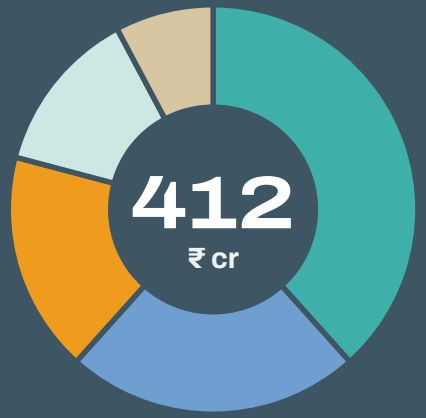
07 Data and cyber
Privileged access, 6-hour CERT-In reporting

Source: KSA enterprise risk framework; RBI, SEBI and DPDP obligations as at October 2026

Strategy & Deals earns 38% of ₹412 crore in fees; Crisis & Resilience is the practice to back

Fees by practice, FY25

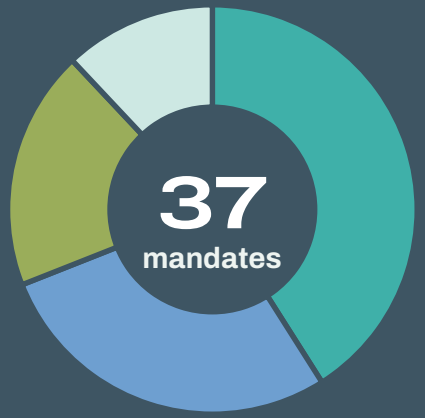
5 PARTS



Strategy & Deals	₹158 cr	38%
Tax & Regulatory	₹96 cr	23%
Crisis & Resilience	₹72 cr	17%
Technology & AI	₹54 cr	13%
International Desk	₹32 cr	8%

Mandates by client type, FY25

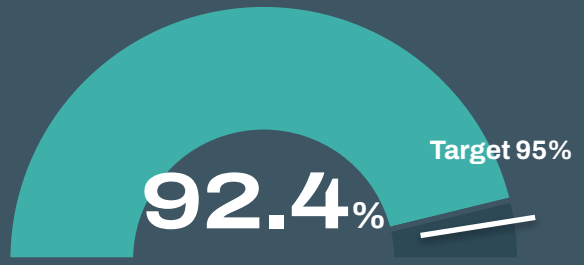
4 PARTS



Listed companies	41%
Private equity	28%
Family groups	19%
Public sector	12%

Board actions closed on time

GAUGE



of 210 actions closed on time

Gap to target: 2.6 points, or 6 actions. Four of the six sit with the plant IT team and close in November.

Source: KSA management accounts FY25; KSA analysis

Note: Crisis & Resilience grew 31% year on year, the fastest of the five practices.

Every mandate runs the same five-step loop; the review step feeds the next diagnosis

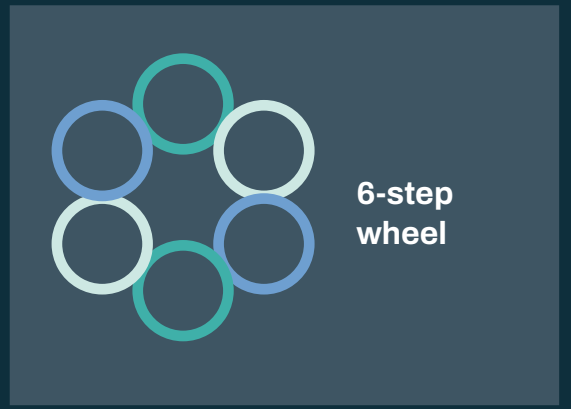


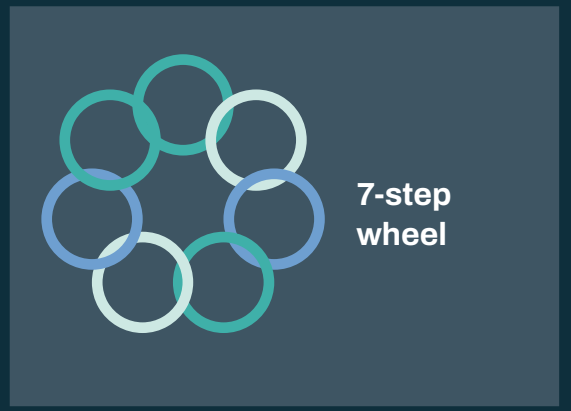
Source: KSA transformation method



An investigation is a chain of eight links; interviews are where the case turns

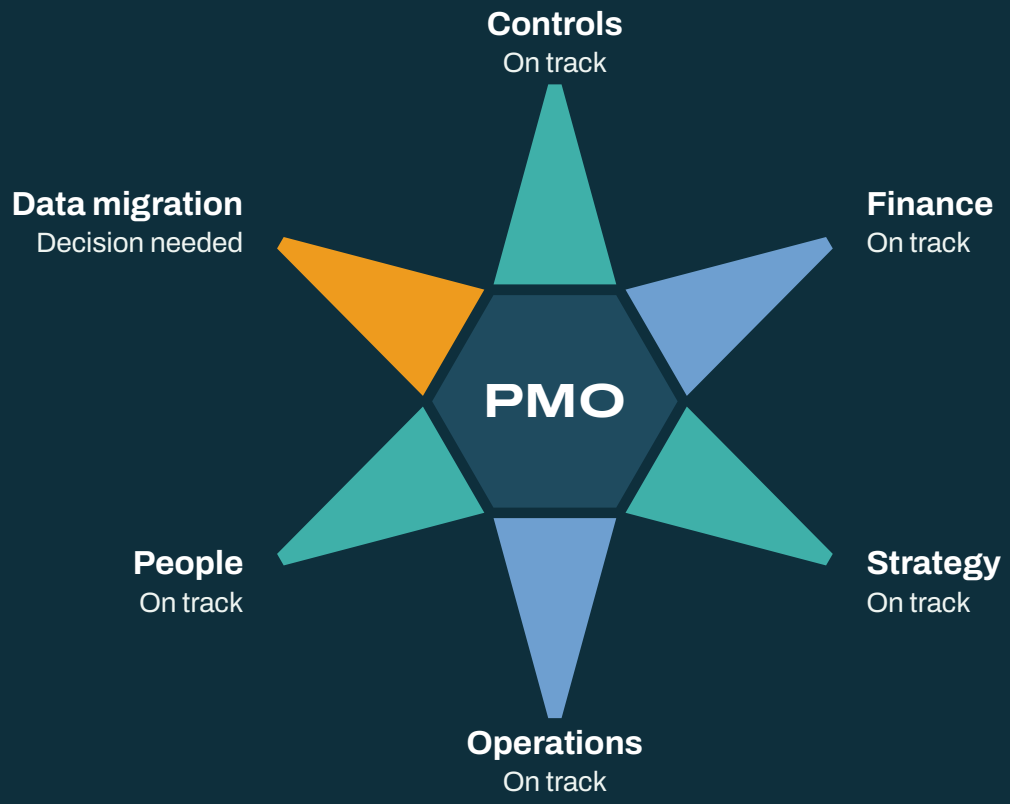






Source: KSA investigations protocol; Bharatiya Sakshya Adhiniyam 2023 evidence standards

Five of six workstreams are on course; the data-migration arm needs a decision this week



ON TRACK

Procurement savings

₹38 cr

of ₹40 cr target locked in contracts

Owner: CPO · Next: 30 Oct

AT RISK

Data migration

11 days

behind plan after the ERP cut-over slipped

Owner: CIO · Decision: 18 Oct

OVERDUE

DPDP consent notices

3 of 7

business units still without updated notices

Owner: DPO · Due: 30 Sep

FINAL

Plant 2 safety audit

0

critical findings; report issued 12 October

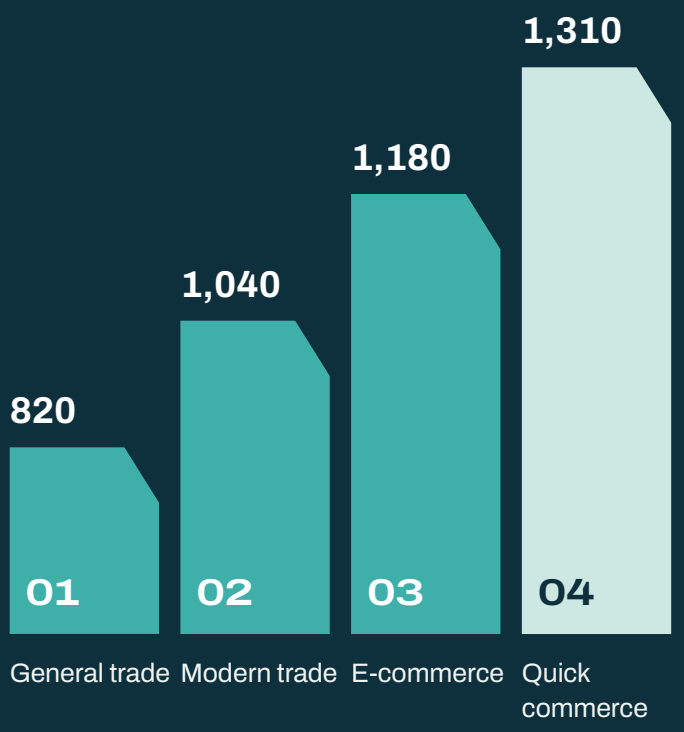
Owner: COO · Closed

Source: KSA programme management office, status as at 16 October 2026

Revenue builds up, cost to serve steps down, and four synergy streams converge on ₹86 crore

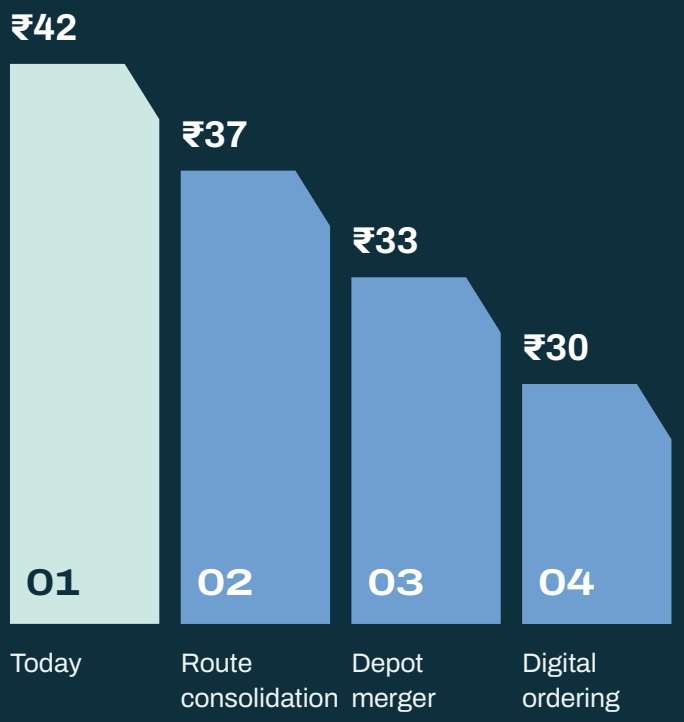
STEP-UP

Revenue by channel added, FY29E, ₹ crore



STEP-DOWN

Cost to serve per case, ₹



V-CONFLUENCE

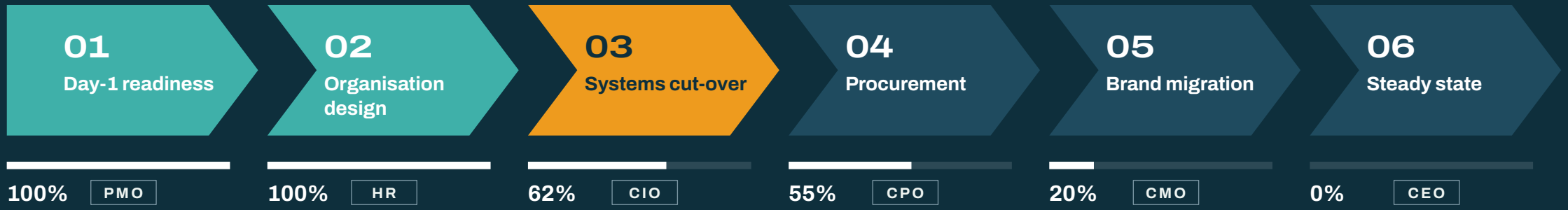
Run-rate synergies by FY28, ₹ crore



70% of the total sits in procurement and logistics, where contracts already exist.

Source: KSA value creation model; management plan FY26-FY29; KSA analysis

The 100-day integration plan is half done; systems cut-over is the step on the critical path



5-STEP · DUE DILIGENCE

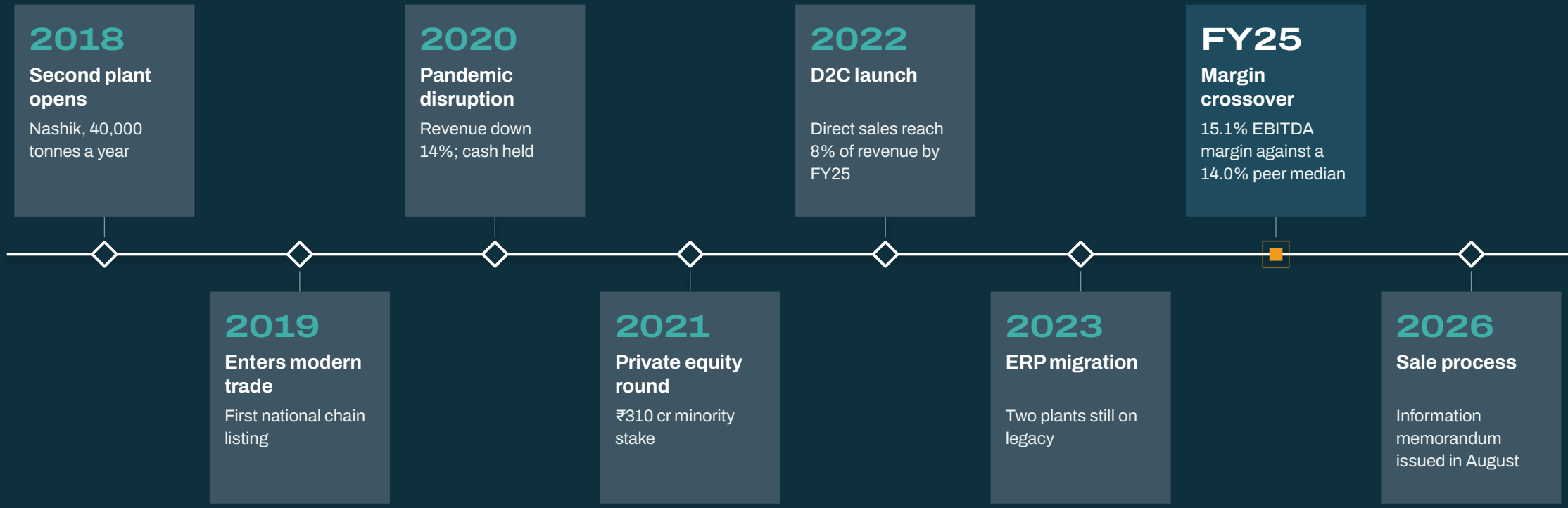


8-STEP · INVESTIGATION



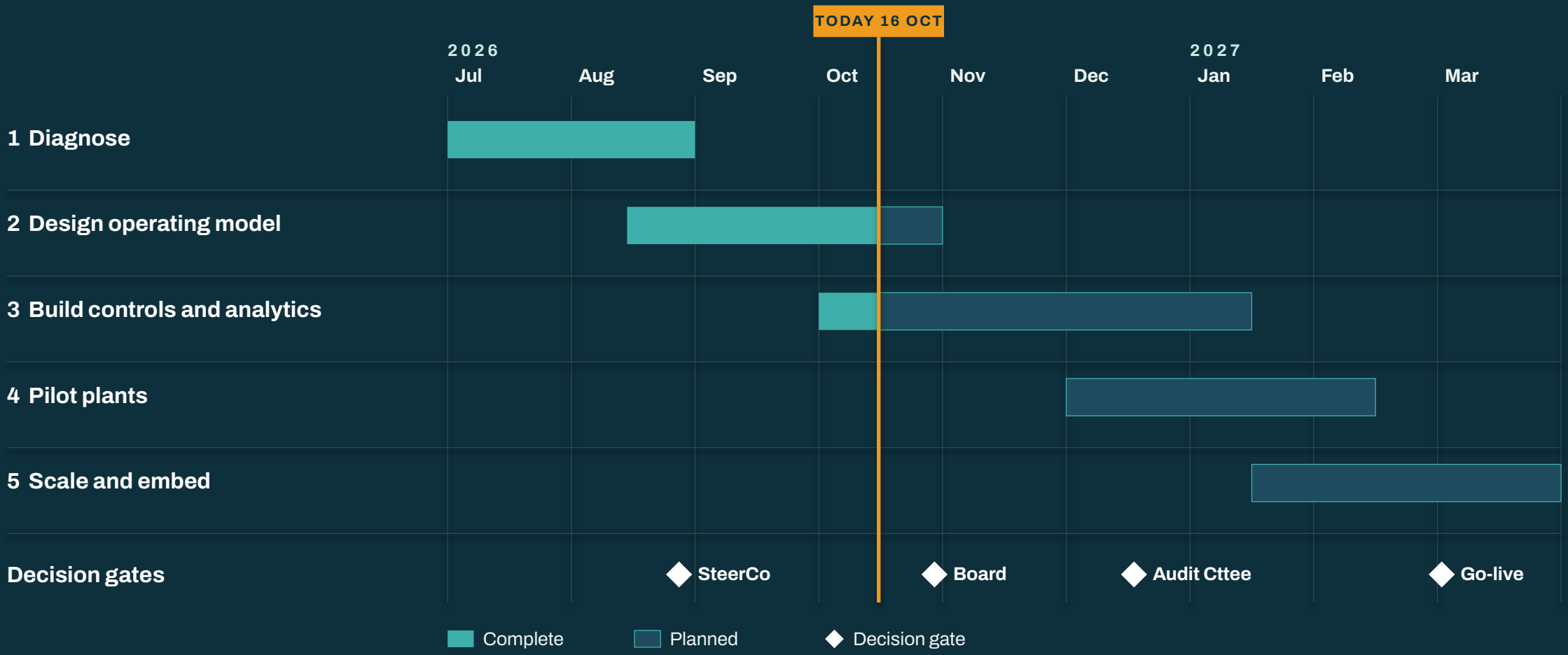
Source: KSA integration management office tracker, 16 October 2026

Eight moves in eight years; the FY25 margin crossover is what makes the asset sellable now



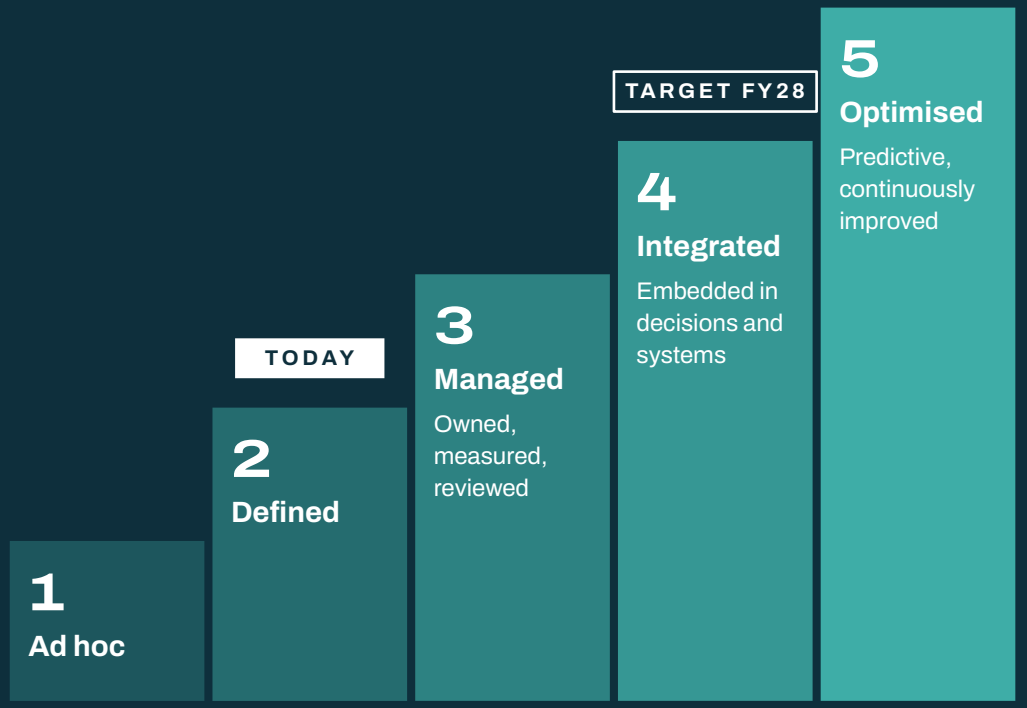
Source: Company filings (MCA), management presentation, press archive; KSA analysis

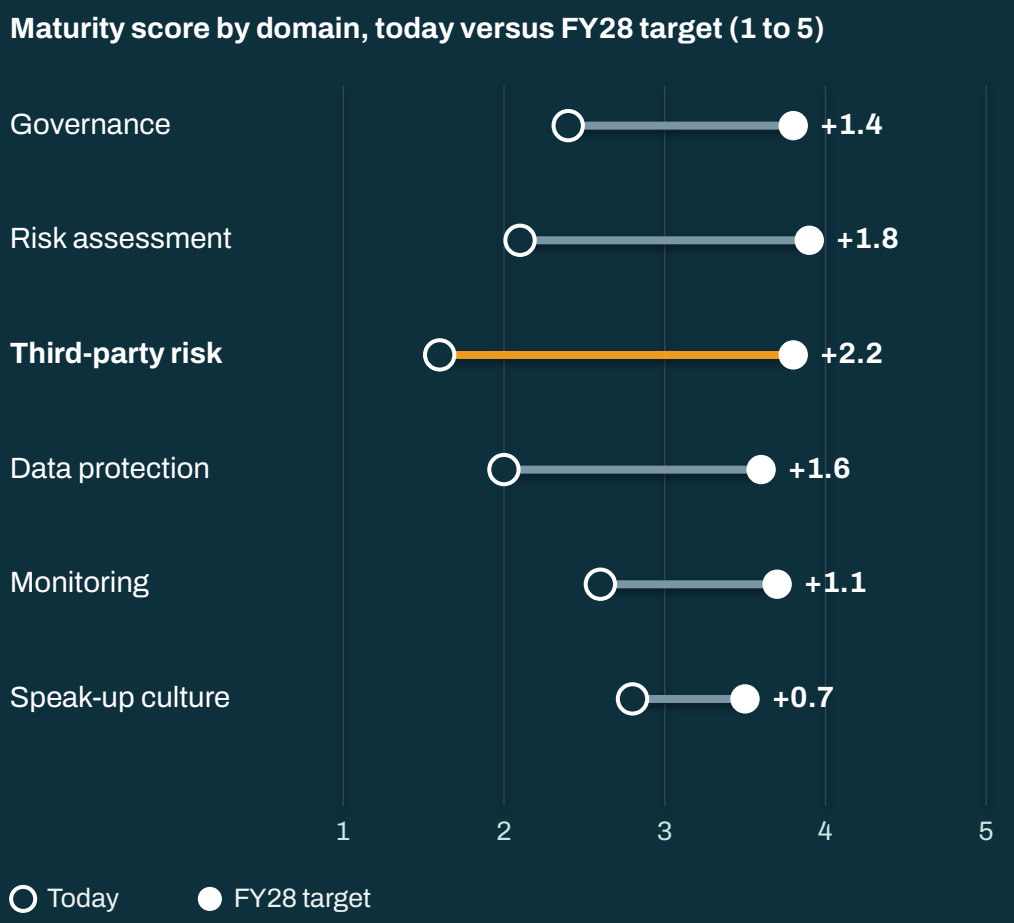
Design closes on time on 31 October; the build phase now carries the critical path to a March go-live



Source: KSA programme plan v4; steering committee calendar; KSA analysis

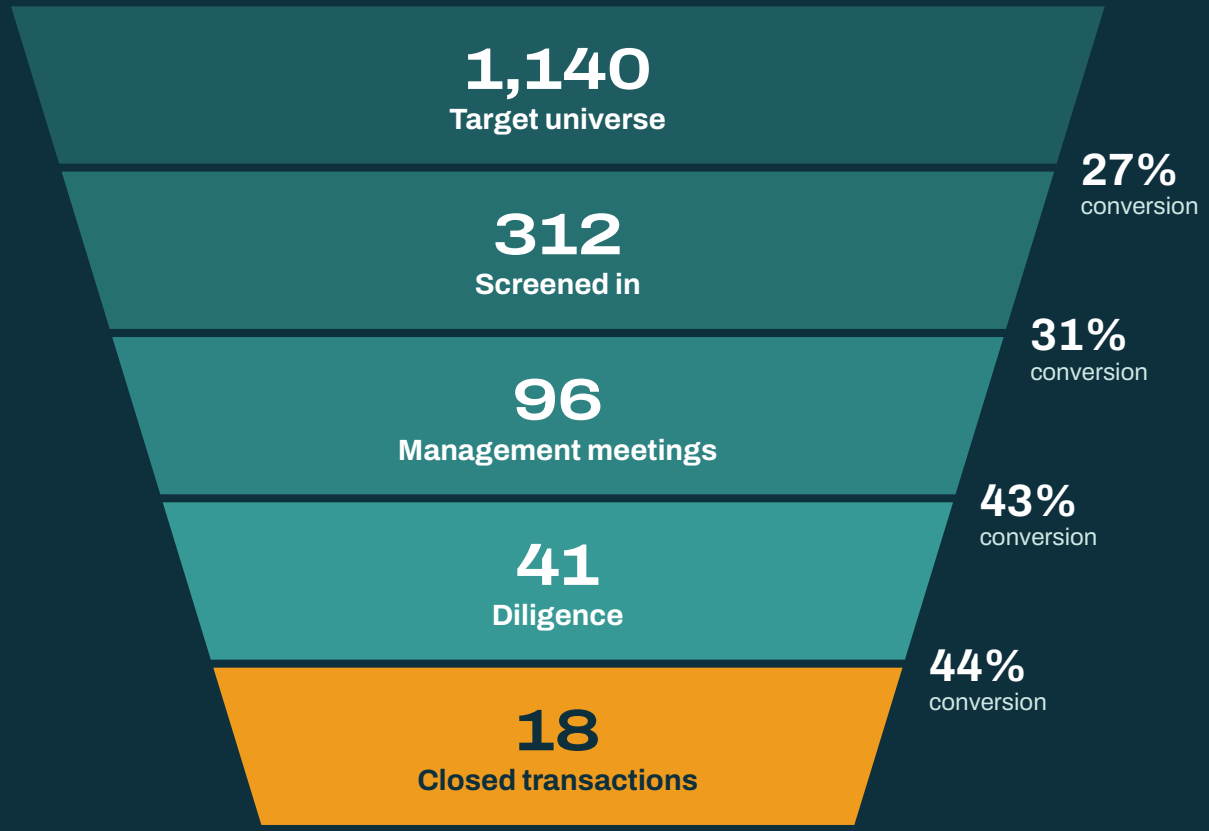
The group sits at level 2 today; third-party risk must climb furthest to reach level 4 by FY28

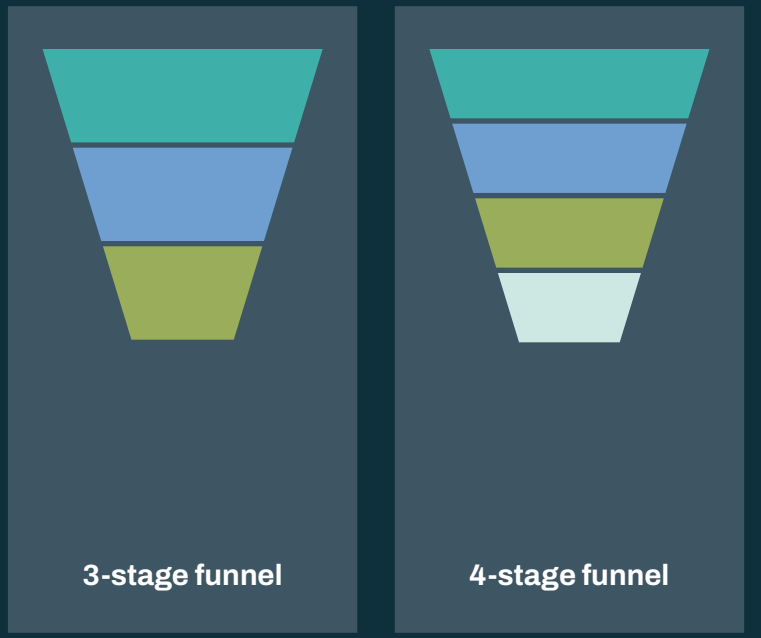




Source: KSA compliance maturity assessment, 42 interviews and document review, September 2026; KSA analysis

From 1,140 targets screened, 18 deals closed: the biggest drop is the first screen, by design

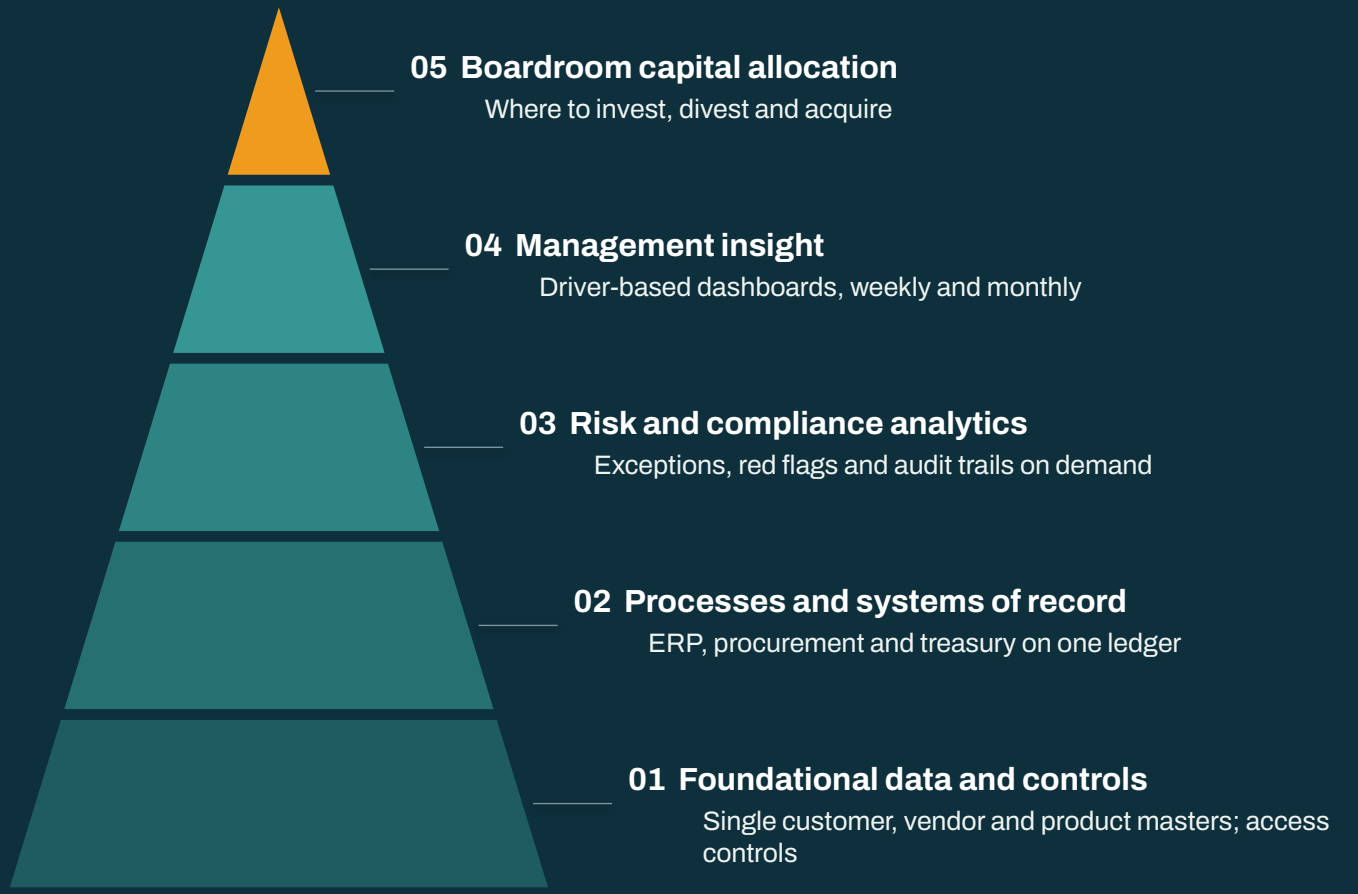


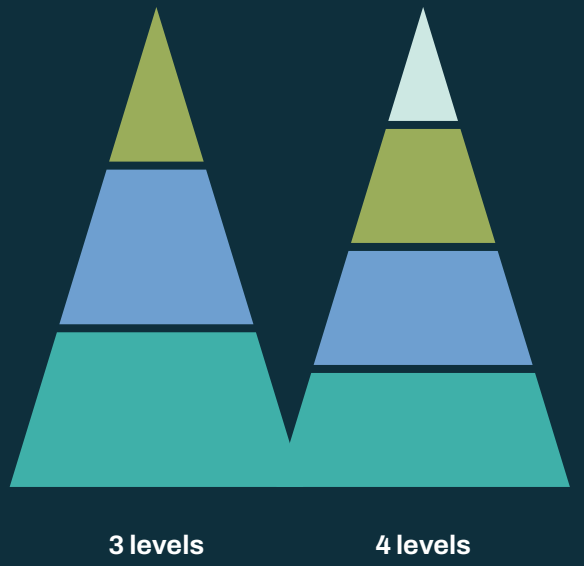


Overall conversion is 1.6%. Screening criteria were tightened in 2025, which halved meetings per closed deal from 9 to 5.

Source: KSA deal pipeline, January 2024 to September 2026; KSA analysis

Board-level capital decisions rest on four layers of data and controls; most groups skip the base





Source: KSA data and analytics maturity framework

Of the three initiatives worth over ₹100 crore, dynamic pricing is the easiest to deliver

STRENGTHS

- Top-3 brand in two states
- 15.1% EBITDA margin, above peers
- Debt-free balance sheet

WEAKNESSES

- 18% of volume in modern trade
- Two plants on legacy ERP
- Founder-led decisions

OPPORTUNITIES

- Quick commerce growing 60% a year
- Premium range at 2x margin
- South India distribution gap

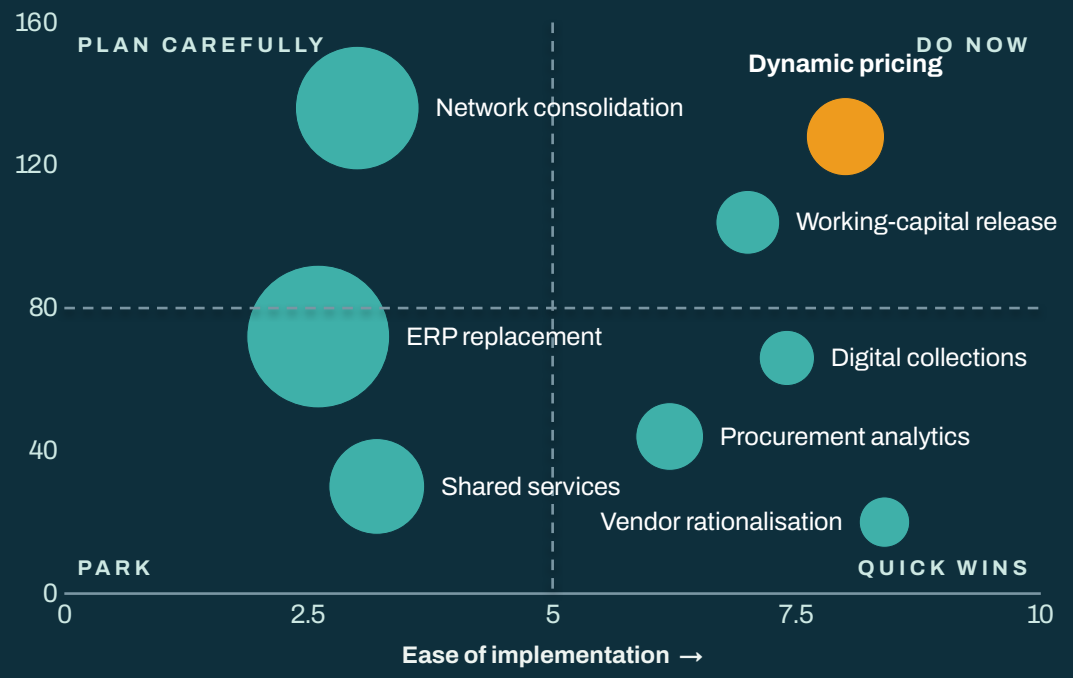
THREATS

- Edible oil price swings
- Private labels in modern trade
- FSSAI labelling changes in 2027

EXHIBIT 3

Initiatives by ease and annual value at stake

Bubble area = one-off investment, ₹ crore



Source: KSA client workshops (2 sessions, 24 participants); management estimates; KSA analysis

Commercial due diligence answers the committee's question in nine weeks at a third of the cost of a full mandate

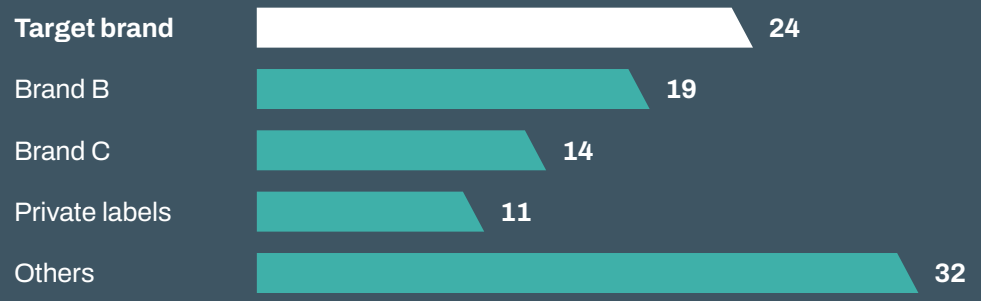
	Diagnostic Sprint ₹25-40 lakh 3 weeks	RECOMMENDED Commercial Due Diligence ₹1.2-1.8 cr 9 weeks	Full Transformation Mandate ₹6-9 cr 9-12 months	Managed Risk Office ₹35-60 lakh a month Rolling, 12 months min
Market and channel model				
Customer and competitor interviews				
Financial and earnings review				
Integrity and related-party checks				
Implementation support				
Continuous monitoring				

Source: KSA engagement models 2026; fees are indicative ranges before taxes
Harvey balls: empty = not included; full = included in depth.

Four flat exhibits replace the 3D blocks, cylinders and pies: each shows the number, not the ornament

Blade bars

Share of category sales, FY25, %



10 × 10 waffle

Shoppers who buy online at least monthly



38

in every 100 urban shoppers buy groceries online at least once a month

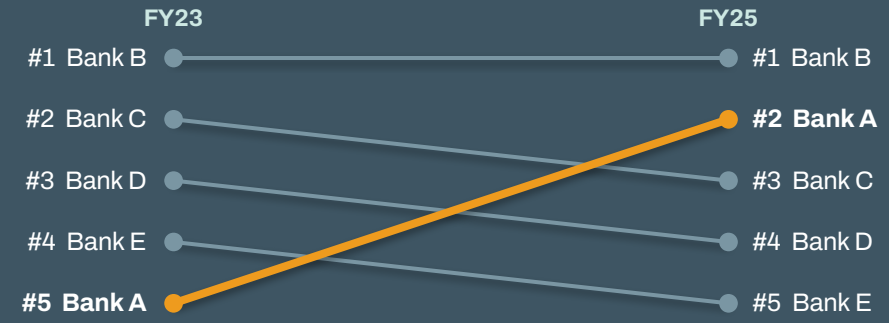
Bullet versus target

FY26 year to date versus plan



Slopegraph

Rank by customer satisfaction, FY23 to FY25



Source: Illustrative data; KSA exhibit standards

Eight metric cards cover every KPI pattern a board pack needs, from a single value to an alert

01 · SIMPLE VALUE

Active mandates

37

across 6 practices and 14 states

02 · VALUE AND DELTA

Fees billed, FY26 to date

₹1,284 cr

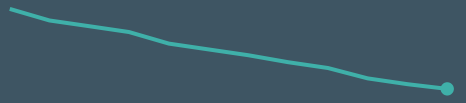
▲ 12.4% vs FY25 to date

03 · WITH SPARKLINE

Gross NPA ratio, portfolio

2.41 %

▼ 18 bps in the quarter



04 · PROGRESS TO TARGET

Synergies banked

₹86.4 cr

72% of the ₹120 cr target; on plan for FY28

05 · VS BENCHMARK

EBITDA margin, FY25

18.6 %

Peer median 14.0%: +4.6 points

06 · MINI BAR

New clients this quarter

14

Record quarter



07 · ALERT STATE

Days sales outstanding

74 days

ABOVE 60-DAY LIMIT

Up 9 days; three distributors over 120

08 · DARK THEME

Case closure rate

92 %

▲ 6 points; target 95%

Source: Illustrative figures; KSA design system, metric card component v1.0

EBITDA margin crossed the peer median in FY25, the first time in a decade

EXHIBIT 4

EBITDA margin, FY16 to FY25

Per cent of revenue

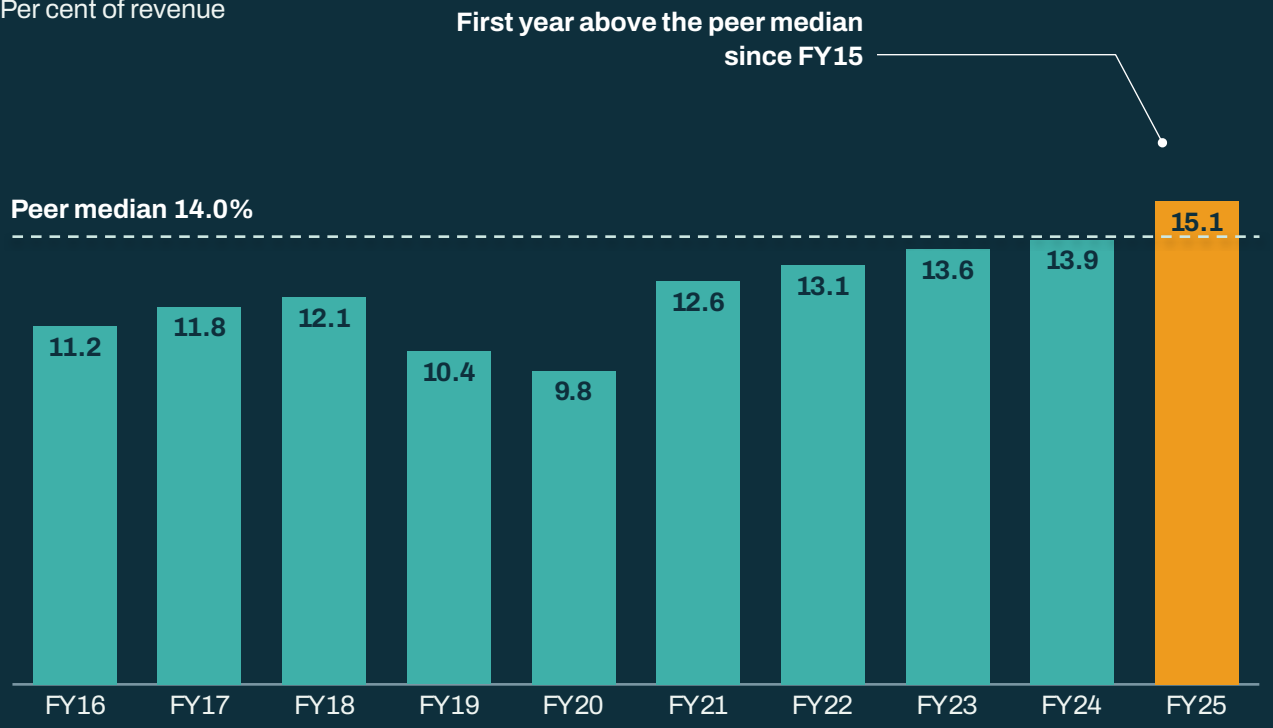
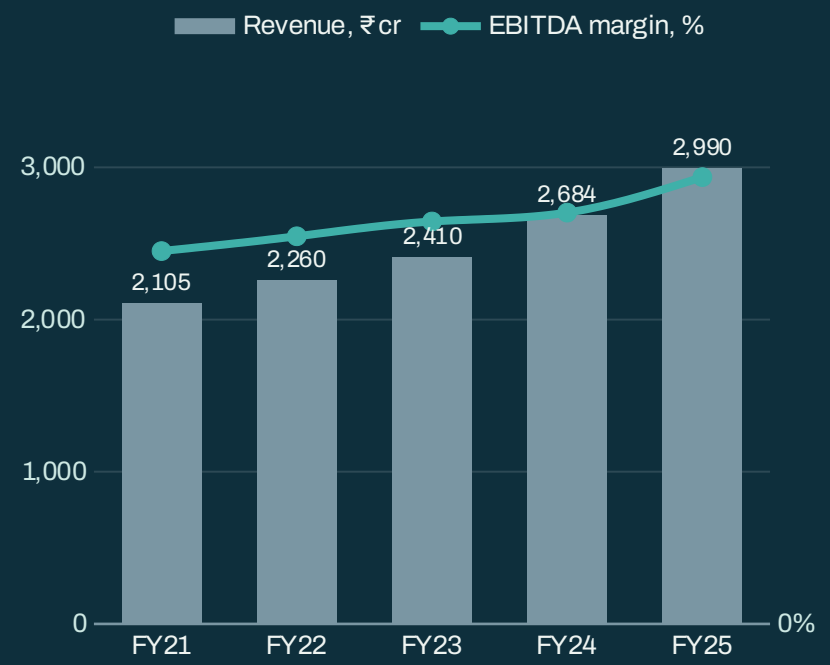


EXHIBIT 5

Revenue grew 9% a year while margin rose 2.0 points

Revenue, ₹ crore (columns); EBITDA margin, % (line)



Source: Company annual reports FY16-FY25; peer set of 9 listed packaged-food companies; KSA analysis
Note: EBITDA margin before exceptional items. Peer median excludes the target.

Healthcare led deal value in FY25; the West grew fastest; and staff trust the speak-up line least

EXHIBIT 6

Deal value by sector, FY25

₹ '000 crore

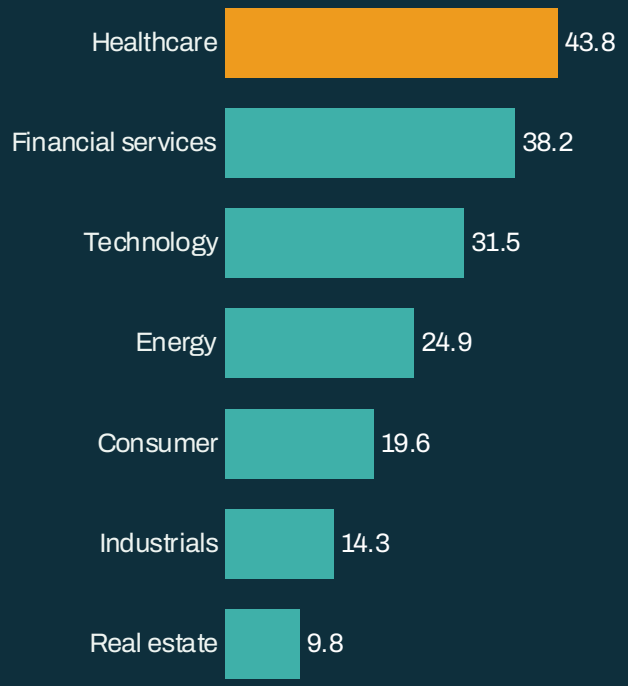


EXHIBIT 7

Revenue by region, FY24 and FY25

₹ crore

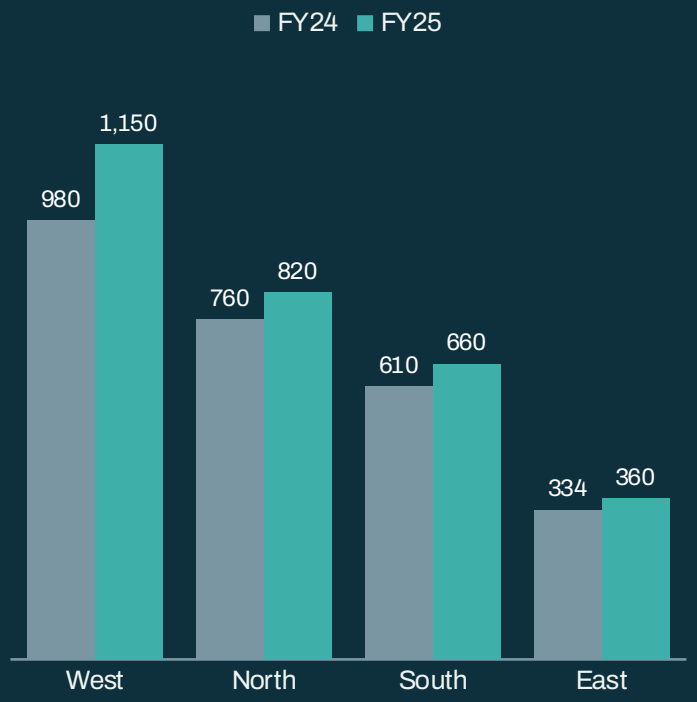
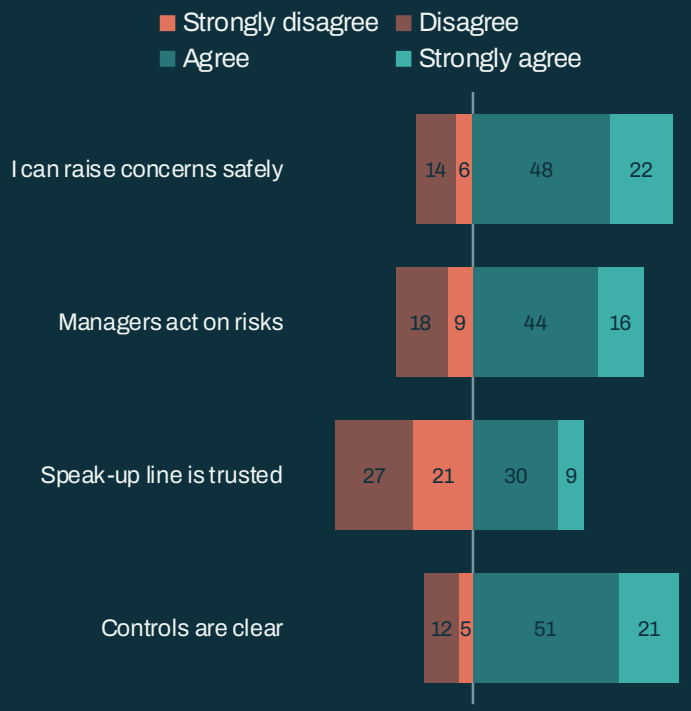


EXHIBIT 8

Risk-culture survey: agree versus disagree

% of respondents; neutral answers not shown



Source: Deal databases and press releases, FY25; company MIS; KSA risk-culture survey, n = 1,240 employees, August 2026; KSA analysis

Fees doubled in three years, sales moved online, and one sector still carries 38% of the Nifty

EXHIBIT 9

Fees by practice, FY22 to FY25

₹ crore

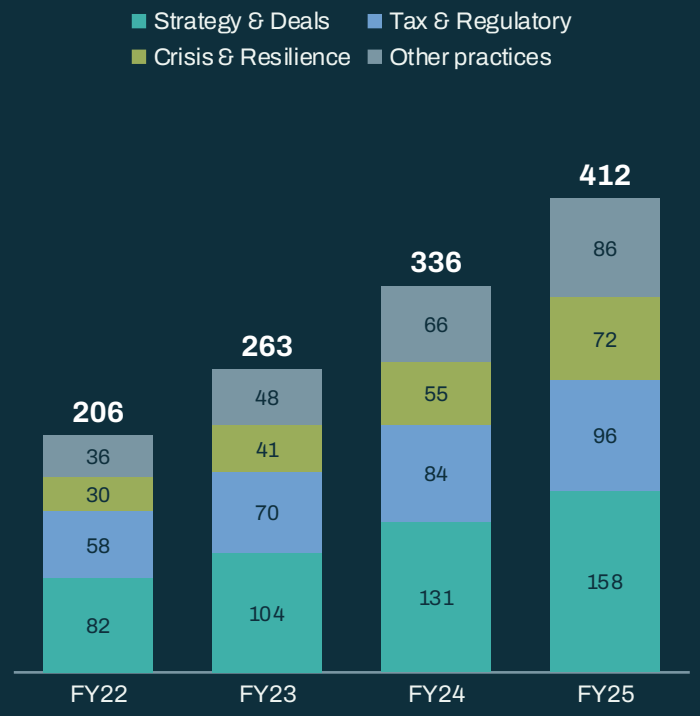


EXHIBIT 10

Packaged-food sales by channel

% of value

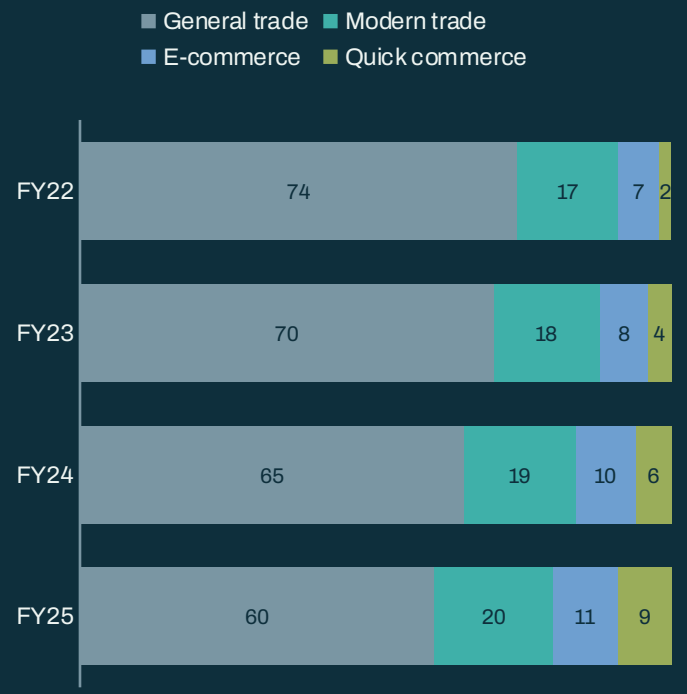
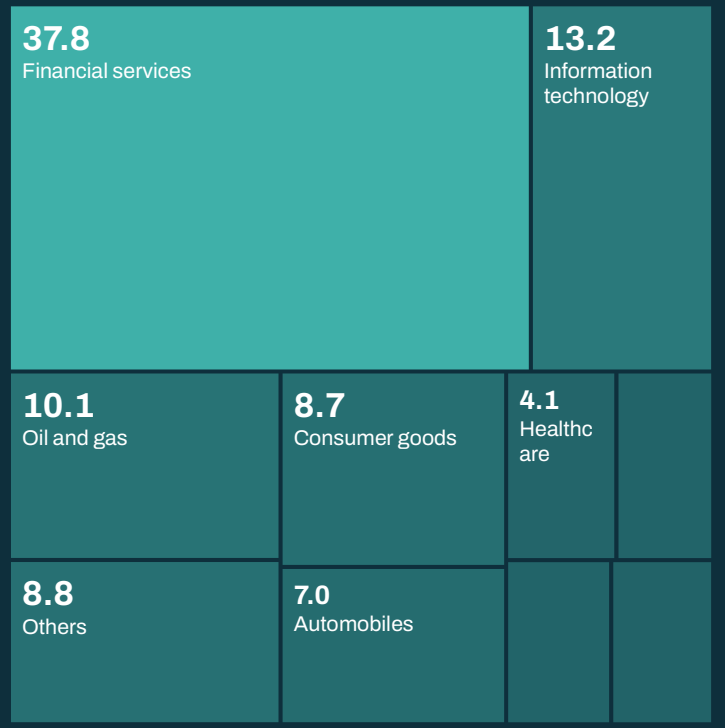


EXHIBIT 11

Nifty 50 weight by sector

% of index, September 2026



Source: KSA management accounts; retail audit panel; NSE Nifty 50 factsheet, September 2026; KSA analysis

Public-sector banks now report less bad debt than NBFCs, and peak power demand passes 330 GW by FY30

EXHIBIT 12

Gross NPA ratio by lender type, FY19 to FY26

% of gross advances

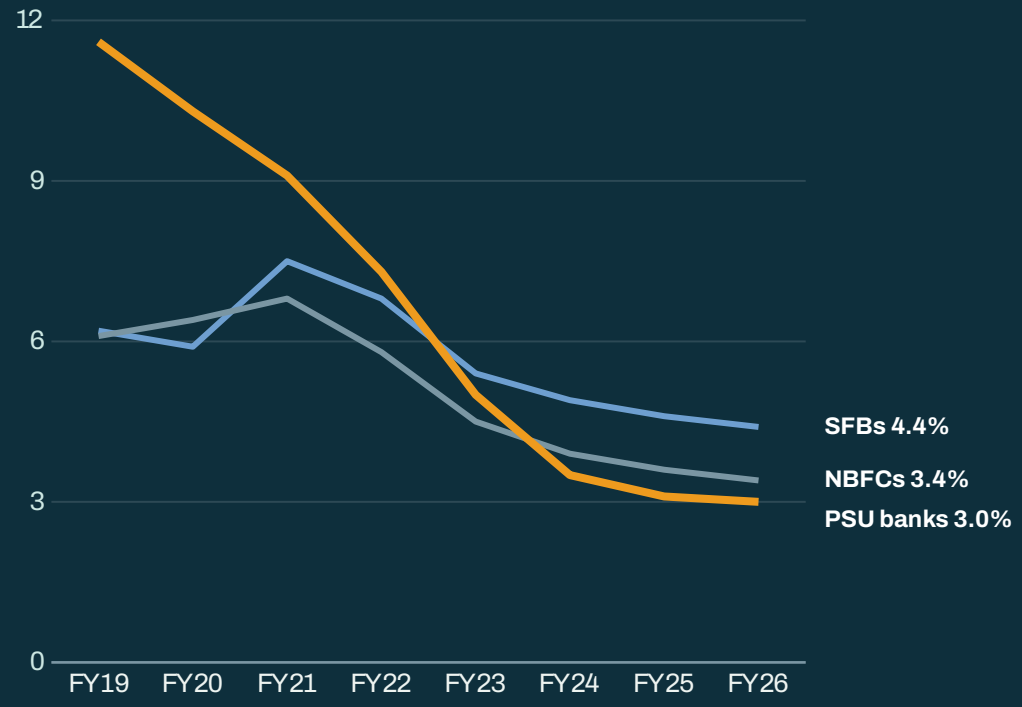
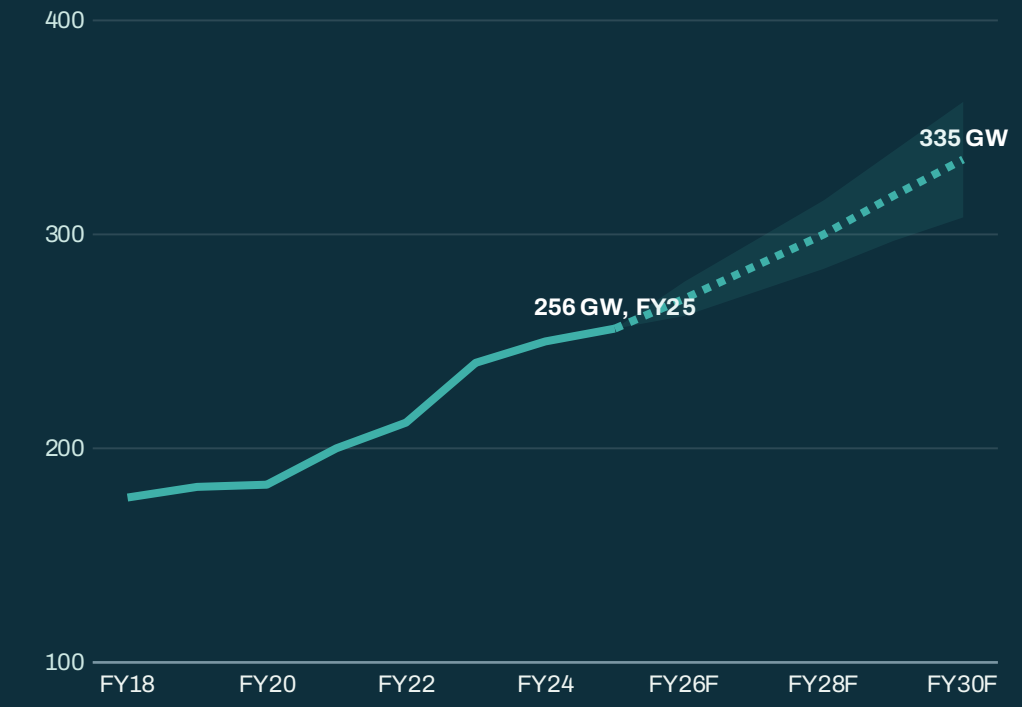


EXHIBIT 13

Peak power demand, FY18 to FY30F

Gigawatts; dotted line and band are forecasts



Source: RBI Financial Stability Reports; CEA load generation balance reports; KSA forecast model; KSA analysis

Note: FY26 is the September 2026 position. Forecast band shows the 80% interval.

Volume and price added ₹99 crore; input costs took back ₹47 crore; staples remain 58% unorganised

EXHIBIT 14

EBITDA bridge, FY24 to FY25

₹ crore

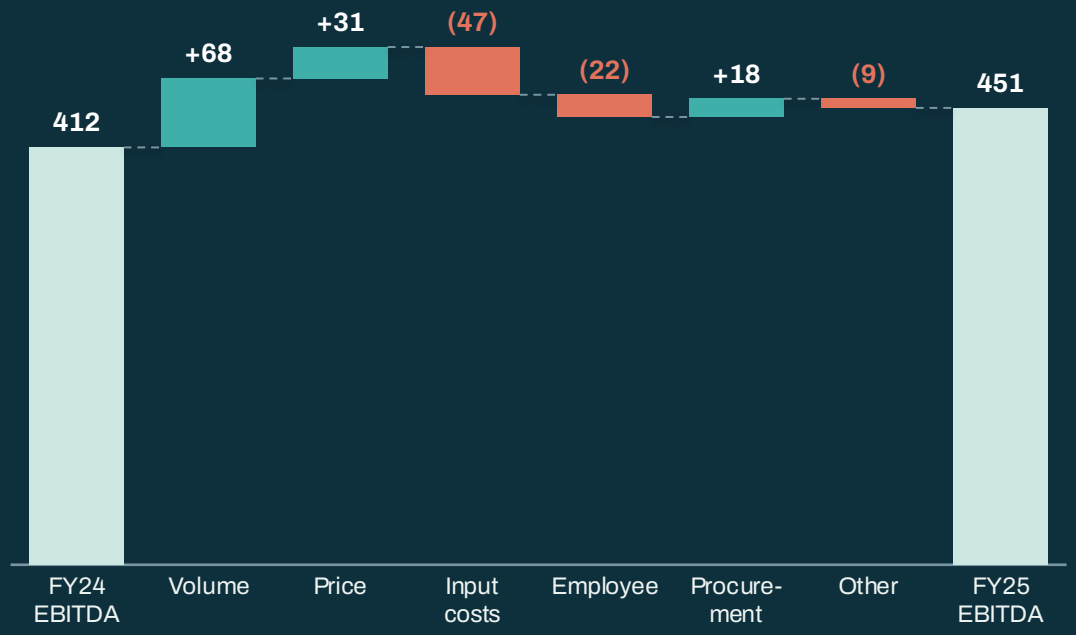
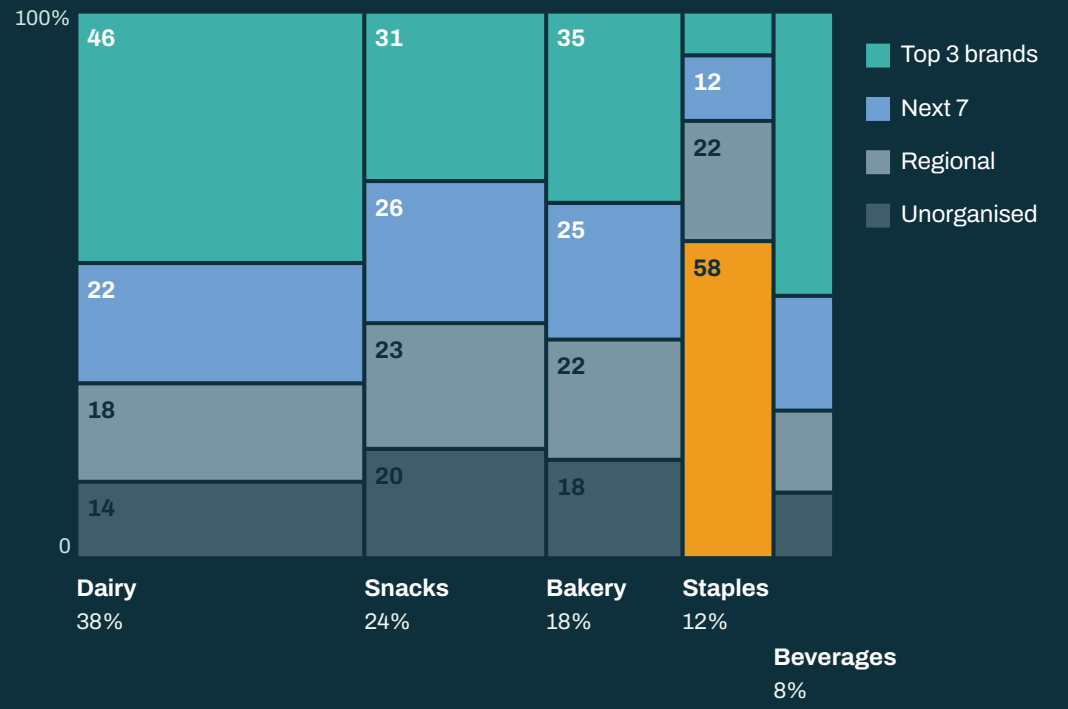


EXHIBIT 15

Packaged food by segment and player type, FY25

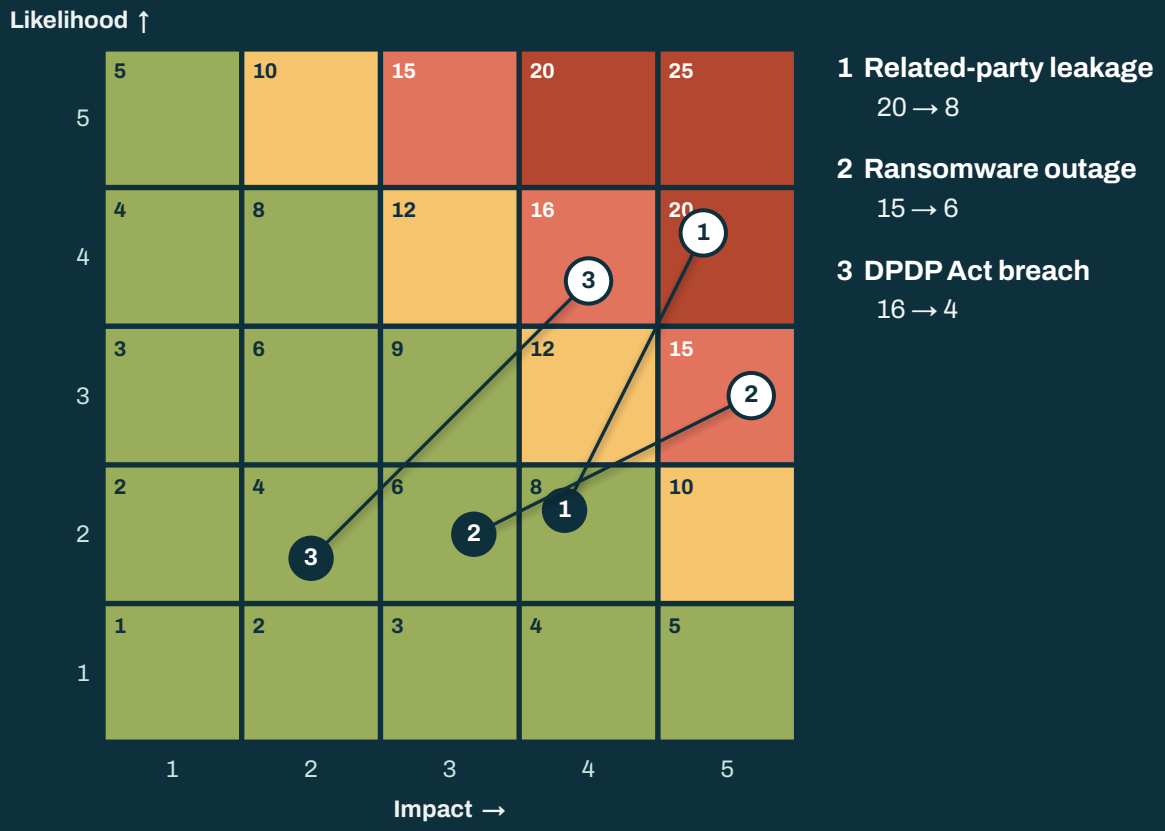
Width = segment size (% of ₹3.1 lakh crore); height = share within segment



Source: Company management accounts FY24-FY25; industry interviews; company filings; KSA analysis

Note: Rises in Open Water, falls in Red Clay, totals in Deep Current. Marimekko widths are segment size; heights are share within segment.

Planned controls move all three top risks out of the red zone; Provider B covers Indian data best



1 Related-party leakage
20 → 8

2 Ransomware outage
15 → 6

3 DPDP Act breach
16 → 4

Screening data providers, scored on five criteria

	Provider A	**Provider B**	Provider C	Provider D
Sanctions and PEP coverage	●	●	◕	◑
Indian adverse media	◑	●	◕	◕
Ownership (UBO) data	◕	◕	●	◕
API and integration	●	◕	◑	◕
Cost for 5,000 checks	◕	◕	◑	●

Source: KSA risk workshop with the audit committee, 9 October 2026; vendor demonstrations; KSA analysis
Note: open circles show inherent risk before controls; filled circles show residual risk after controls.

Margin expands to 15.4% in FY26E on the management case; two of eight controls still need work before signing

EXHIBIT 16

Consolidated P&L, FY23 to FY26E

₹ crore

	FY23	FY24	FY25	FY26E
Revenue	2,410	2,684	2,990	3,320
Gross profit	868	980	1,121	1,262
Employee costs	(214)	(236)	(258)	(281)
Other operating costs	(342)	(385)	(412)	(469)
EBITDA	**312**	**359**	**451**	**512**
EBITDA margin, %	**12.9**	**13.4**	**15.1**	**15.4**
Depreciation	(64)	(71)	(79)	(86)
Finance costs	(42)	(38)	(31)	(26)
Profit after tax	**151**	**186**	**253**	**297**

EXHIBIT 17

Control readiness before signing

Status, owner and trend

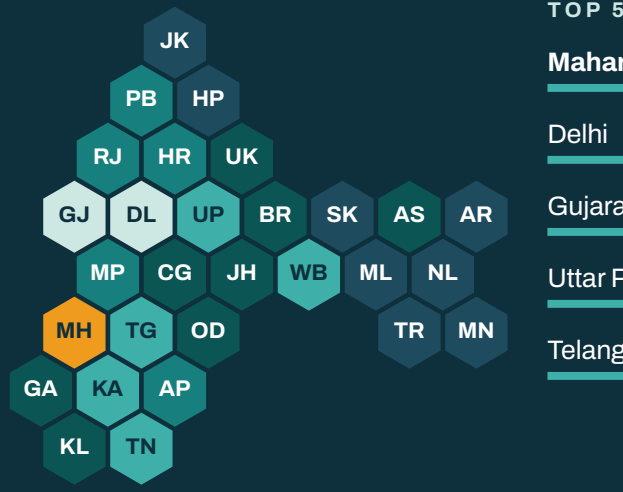
On track	Related-party approval policy	CFO	▲
On track	Vendor master clean-up	CPO	▲
At risk	ERP access reviews	CIO	–
On track	Revenue recognition	Controller	–
Off track	DPDP consent notices	DPO	▼
On track	Whistleblower line	CCO	▲
At risk	Plant inventory counts	COO	▲
On track	Treasury dual control	Treasurer	–

Source: Audited financial statements FY23-FY25; management budget FY26E; KSA control testing, October 2026; KSA analysis
Note: ₹ crore unless stated. Negative figures in brackets. FY26E is the management case before KSA adjustments.

Twelve cities, 29 states and ₹1,240 crore of active mandates; Maharashtra is the largest book



Active mandates by state, ₹ crore



TOP 5 STATES

Maharashtra	418
Delhi	356
Gujarat	298
Uttar Pradesh	241
Telangana	180

6 core practices

45 IBEF industry verticals

₹1,240 cr+ active mandates

Source: KSA mandate register, FY26 to date; map: Natural Earth 1:10m, India point of view (public domain)
Note: Map not to scale. External boundaries as depicted by the Survey of India.

Seven in ten cross-border mandates run through three corridors: the Gulf, London and New York



Cross-border mandates by region

% of 214 mandates, FY24 to FY26 YTD

Middle East	**31%**
UK	**22%**
North America	**18%**
Singapore and APAC	**15%**
Europe	**9%**
Africa	**5%**

Source: KSA International Desk mandate register, FY24 to FY26 YTD; map: Natural Earth (public domain)

Note: Map not to scale. Corridor weight shows the share of cross-border mandates by number.

One drawing language across icons, badges, seals and marks: 2 px Deep Current, flat cuts, one saffron point

SERVICE ICONS · 24 × 24 GRID, SHOWN AT 2.3×



CONTENT LABELS AND PRACTICE BADGES

INSIGHT · POINT OF VIEW · CASE STUDY · DATA BRIEF · WEBINAR

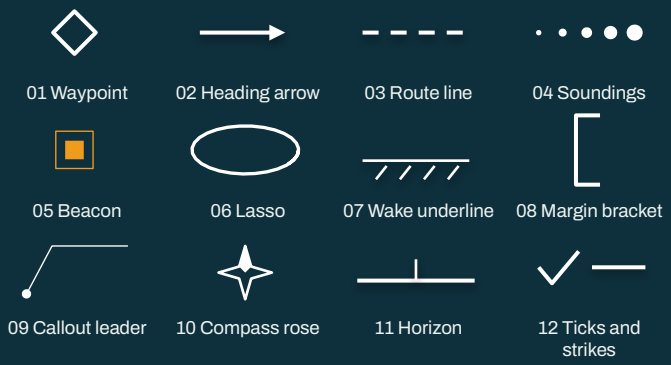
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DRAFT · CONFIDENTIAL · CLIENT READY · FINAL

NAVIGATOR'S MARKS



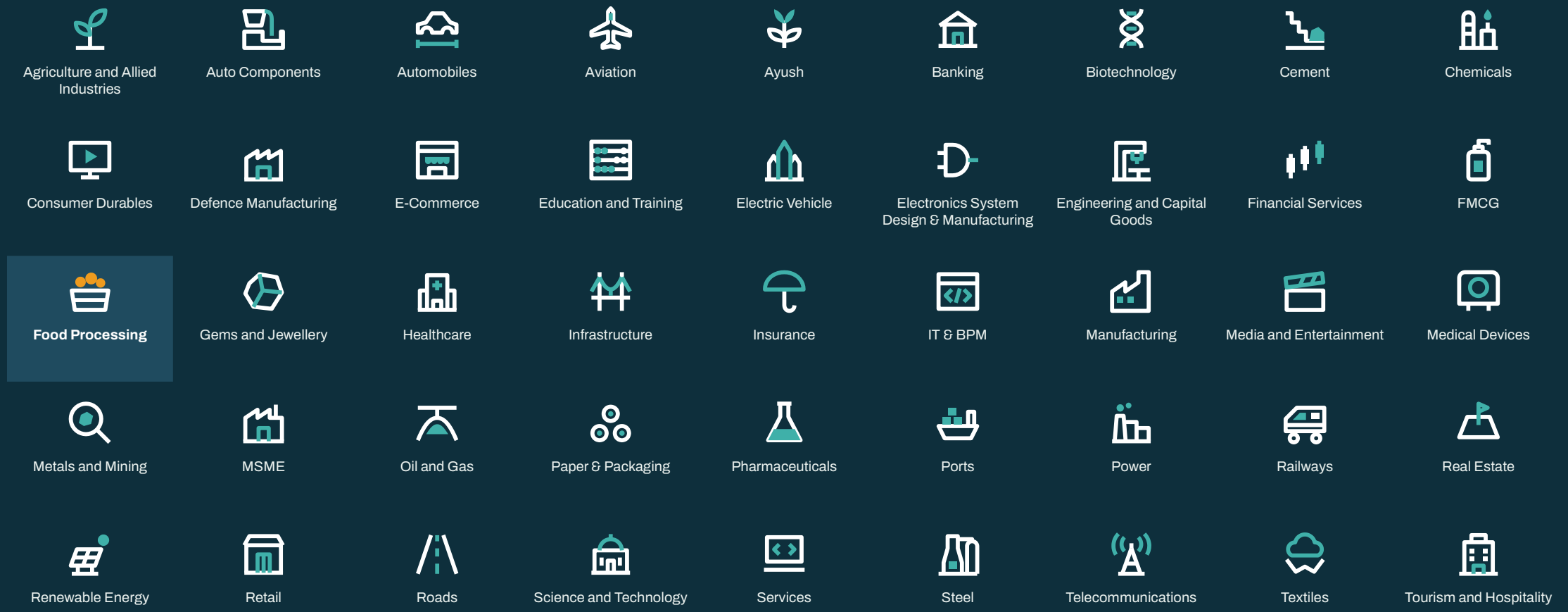


THE ELEVEN PATTERNS · TONAL STRENGTH



Source: KSA Design & Visual Guidelines v1.0; 48 service icons and 2,160 industry icons (45 IBEF sectors x 48)

One icon grammar for 45 industries: 2,160 icons on a 24-pixel grid, one shown per sector



Source: KSA Industry Icon Library v1.0: 45 sectors × 48 icons = 2,160, each in six variants (Duotone, Duotone reversed, three Line inks, Badge)

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